

25CHCV03492 25CHCV03492

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DEFENDANTS' MOTION
TO STAY PROCEEDINGS

Motion filed on March 17, 2026.

MOVING PARTY: Robert John Fauls III, Flatiron Networks,
Inc., and Rob Fauls Holdings, LLC (collectively, Defendants)

RESPONDING PARTY: IT Creations, Inc. (ITC or Plaintiff)

NOTICE: OK

RELIEF REQUESTED: Defendants seek a discretionary stay of
this action pursuant to Code of Civil Procedure sections 410.30, 128,
subdivision (a)(8), and 187 pending resolution of a first-filed action in
Colorado state court.

RULING: Denied.

BACKGROUND

On September 29, 2025, ITC filed the operative Complaint

against Robert John Faults III (Faults), Flatiron Networks, Inc. (Flatiron), and Rob Faults Holdings, LLC (Holdings) asserting causes of action for breach of contract, breach of fiduciary duty, misappropriation of trade secrets, conversion, constructive trust, and unjust enrichment.

On November 20, 2025, Defendants filed a motion to compel arbitration and stay proceedings. ITC filed an opposition. On February 26, 2026, the Court denied the motion to compel arbitration on waiver grounds.

On March 17, 2026, Defendants filed the instant motion to stay proceedings, supported by a memorandum of points and authorities, the declarations of Sandra K. Wootton and Robert John Faults III, and a request for judicial notice attaching the Colorado Complaint (Ex. 1), Flatiron's Verified Motion for Preliminary Injunction in the Colorado Action (Ex. 2), and ITC's California Complaint (Ex. 3).

On May 5, 2026, ITC filed its opposition, supported by the declaration of Michael S. Adler with exhibits and a request for judicial notice attaching the declaration of Robert John Faults III filed in support of the prior motion to compel arbitration, including the Employee Confidentiality and Ownership Agreement as Exhibit A.

On May 11, 2026, Defendants filed a reply.

On May 18, 2026, after hearing, the Court continued the motion to June 30, 2026 for limited supplemental briefing. The Court directed Defendants to file the Colorado answer and cross-complaint referenced at oral argument and any other Colorado court record necessary to establish the current procedural posture of that action.

On June 15, 2026, Defendants filed a supplemental brief and request for judicial notice attaching Colorado court records. On June 23, 2026, Defendants filed a notice of errata with a corrected supplemental brief. On June 23, 2026, ITC filed a supplemental opposition and supplemental Adler declaration.

DISCUSSION

Request for Judicial Notice

The parties filed three requests for judicial notice.

Defendants' March 17, 2026 request seeks judicial notice of: Exhibit 1, Flatiron's Colorado complaint; Exhibit 2, Flatiron's verified motion for preliminary injunction in the Colorado action; and Exhibit 3, ITC's complaint in this action. ITC's May 5, 2026 request seeks judicial notice of Exhibit 1, the declaration of Robert J. Faults III filed in support of Defendants' prior motion to compel arbitration, including the Employee Confidentiality and Ownership Agreement. Defendants' June 15, 2026 supplemental request seeks judicial notice of: Exhibit 4, ITC's Colorado answer and counterclaims; Exhibit 5, ITC's amended Colorado answer and counterclaims; Exhibit 6, Flatiron's answer to ITC's amended Colorado counterclaims; Exhibit 7, the Colorado case schedule; and Exhibit 8, the Colorado register of actions and party information.

The requests are granted under Evidence Code section 452, subdivisions (d) and (h), as to the existence, filing, and contents of the referenced court records and records capable of accurate determination. The Court does not take judicial notice of the truth of disputed factual assertions within those records.

Discretionary Stay Based on Colorado Action

Code of Civil Procedure section 410.30, subdivision (a) provides that "[w]hen a court upon motion of a party or its own motion finds that in the interest of substantial justice an action should be heard in a forum outside this state, the court shall stay or dismiss the action in whole or in part on any conditions that may be just." The Court also has inherent power to stay proceedings in the interest of justice and to promote judicial efficiency. (Code Civ. Proc., §§ 128, subd. (a)(8), 187.)

"When an action is brought in a court of this state involving the same parties and the same subject matter as an action already pending in a court of another jurisdiction, a stay of the California proceedings is not a matter of right, but within the sound discretion of the trial court." (*Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal.2d 208, 215.) Defendants bear the burden. (*Stangvik v. Shiley Inc.* (1991) 54 Cal.3d 744, 751.)

The analysis is affected by the parties' forum-selection language. A section 410.30 motion may be used to enforce a contractual forum-selection clause. (*Grove v. Juul Labs, Inc.* (2022) 77 Cal.App.5th

1081, 1090.) A mandatory forum-selection clause is generally given effect unless enforcement would be unfair or unreasonable. (*Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 661; *Berg v. MTC Electronics Technologies* (1998) 61 Cal.App.4th 349, 358-359; *Cal-State Business Products & Services, Inc. v. Ricoh* (1993) 12 Cal.App.4th 1666, 1679.) Such a clause is not rendered unreasonable merely because litigating in the chosen forum may be inconvenient or more expensive, particularly where any such inconvenience was contemplated when the parties contracted. (*Smith, Valentino & Smith, Inc. v. Superior Court* (1976) 17 Cal.3d 491, 496; *CQL Original Products, Inc. v. National Hockey League Players' Assn.* (1995) 39 Cal.App.4th 1347, 1354; *Intershop Communications v. Superior Court* (2002) 104 Cal.App.4th 191, 199-200.)

Here, the Employee Confidentiality and Ownership Agreement provides: "This Agreement shall be governed by the laws of the State of California, without regard to California's conflicts of law rules. To the extent that any lawsuit is permitted under this Agreement, the Parties hereby expressly consent to the personal and exclusive jurisdiction and venue of the state and federal courts located in California." (Pl.'s RJN, Ex. 1, Ex. A, § 14.A.)

The clause is mandatory. In *Berg*, upon which Defendants rely, the clause stated only that the company submitted to California jurisdiction and did not expressly make California the exclusive forum. (*Berg*, *supra*, 61 Cal.App.4th at pp. 357-360.) Here, the Agreement uses express exclusive-jurisdiction and venue language.

The phrase "[t]o the extent that any lawsuit is permitted under this Agreement" does not make California optional and does not authorize litigation in Colorado. Read as a whole, the Agreement makes arbitration the ordinary remedy for claims subject to arbitration, permits court petitions for injunctive relief involving intellectual property, confidential information, or noninterference, and separately contemplates court actions at law or equity to enforce or interpret the Agreement. (Pl.'s RJN, Ex. 1, Ex. A, §§ 13.C, 13.D, 14.H.) The Court previously denied Defendants' request to compel arbitration. Defendants seek a discretionary stay of this California action in favor of the Colorado action. The Agreement's California forum language weighs against that relief.

Defendants characterize the Colorado claim as falling outside the clause because it asserts an independent tortious-interference

claim arising from preexisting Flatiron relationships rather than the claims at issue here. The Court is not persuaded. Torts related to the parties' contractual relationship fall within the scope of a forum-selection clause. (See *Smith, Valentino & Smith, Inc. v. Superior Court* (1976) 17 Cal.3d 491, 497.) As the Court found in denying Defendants' motion to compel arbitration, the Colorado and California actions arise from the same post-separation dispute over alleged misuse of confidential and trade secret information, which the Agreement governs, including through its noninterference provision and the corresponding carve-out permitting court petitions for noninterference relief. (Pl.'s RJN, Ex. 1, Ex. A, §§ 11, 13.D.) Whether the Colorado claim relates to the Agreement, and so falls within section 14.A, is distinct from whether the Colorado action is identical to this one or would fully resolve it — a separate question addressed below. The Colorado tortious-interference claim is sufficiently related to the Agreement to fall within section 14.A.

Defendants argue the forum-selection clause does not control because Flatiron and Holdings are not signatories, Flatiron disputes whether it is bound by the Agreement, and Defendants seek a comity-based stay rather than dismissal or transfer. But a forum-selection clause may apply to nonparties who are closely related to the contractual relationship. (*Bugna v. Fike* (2000) 80 Cal.App.4th 229, 233-235; *Net2Phone, Inc. v. Superior Court* (2003) 109 Cal.App.4th 583, 588-589.) In *Bugna*, the Court explained: "The key to the closely related test is whether the nonsignatories were close to the contractual relationship, not whether they were close to the third party signator." (*Bugna*, supra, 80 Cal.App.4th at p. 235.)

Here, ITC alleges Flatiron became a party to the relevant agreements by agreeing to employ Faults on behalf of ITC, with Faults to provide the same services to ITC on the same basis as before. (Complaint ¶ 27.) ITC also alleges Faults operated Flatiron and Holdings without appropriate separateness, and that Faults is the alter ego of each entity. (Complaint ¶ 8.) Defendants themselves seek a stay based on the asserted overlap among Faults, Flatiron, the Colorado action, and the claims in this action. Flatiron's and Holdings's non-signatory status does not defeat the California forum-selection language or show that this action should yield to Colorado.

Defendants have not shown that enforcing the California forum-selection language would be unfair or unreasonable. Their principal arguments are that the Colorado action was filed first, the Colorado action is set for trial earlier, and ITC has now asserted overlapping counterclaims in

Colorado. Those circumstances do not establish that California is an unfair or unreasonable forum.

Nor does the timing show that ITC chose parallel litigation.

ITC filed this action on September 29, 2025 without knowing Flatiron had filed the Colorado action and before ITC had been served. (Adler Decl. ¶ 4.) The Colorado complaint was filed four days after the September 15, 2025 legal-hold communications that form the basis for Flatiron's tortious-interference claim. (Adler Decl. ¶ 3, Ex. 2; Defs.' RJN, Ex. 1, ¶ 22.)

By contrast, ITC is a California corporation with its principal place of business in Los Angeles County. (Complaint ¶ 3.) The Agreement contains both California choice-of-law and California forum-selection language. The claims in this action arise from Faults's alleged employment and consulting relationship with ITC, alleged misuse of ITC's confidential and trade secret information, alleged diversion of ITC business, and alleged retention of ITC property. (Complaint ¶¶ 10-25.)

Nor do ITC's Colorado counterclaims change the result. ITC states that it filed the Colorado counterclaims defensively and compulsorily to preserve its rights against Flatiron under Colorado Rule of Civil Procedure 13(a) while this Court was considering the present motion. (Adler Supp. Decl. ¶ 2.) ITC's responsive filing in Colorado does not establish that ITC selected Colorado as the preferred forum or that California should yield despite the Agreement's California forum-selection language.

The parties also are not identical. The Colorado action currently has Flatiron and ITC as parties. This action has ITC, Faults, Flatiron, and Holdings. Although ITC's Colorado counterclaims allege conduct by Faults and Flatiron, Faults and Holdings are not currently named counter-defendants in the Colorado action. Defendants have not shown that any Colorado judgment would fully determine ITC's claims in this action against all Defendants or afford complete relief against Faults and Holdings. (See Farmland, *supra*, 48 Cal.2d at pp. 215-216.)

Defendants' reliance on *Simmons v. Superior Court* (1950) 96 Cal.App.2d 119 is misplaced. In *Simmons*, the Texas action was "determinative of all issues included in the California action," both parties were Texas residents, and the Texas court had appointed a receiver giving the action in rem characteristics. (*Id.* at pp. 127-130.) Those circumstances are

not present here.

Defendants have not shown that convenience independently supports a stay. The motion asserts that most third-party witnesses reside in Colorado, but the supporting declarations do not identify those witnesses, their locations, their expected testimony, or whether compulsory process would be unavailable in California. (Mot. at p. 2; Faults Decl. ¶¶ 7-14; Wootton Decl. ¶¶ 5-12.) Faults's Colorado residence and Defendants' general reference to Colorado witnesses are insufficient.

Considering the California forum-selection language, Defendants' failure to show that enforcing the California forum would be unfair or unreasonable, the defensive posture of ITC's Colorado counterclaims, the non-identical parties, and Defendants' limited convenience showing, Defendants have not shown that this action should be stayed in favor of the Colorado action.

CONCLUSION

Defendants' motion to stay proceedings is denied.